

Knowing your Money

A Financial Literacy Curriculum
for Women Who Build the World

10 Modules to Take Control of Your Money

The Prosperity Project

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Welcome

This book was written for you.

if you work hard everyday, whether it be as a business owner, government employee, domestic worker, working professional, artisan, or homemaker, or doing any of the thousand jobs that keep the world moving - then this book is yours.

You may not have had the chance to study financial skills in school. But you already know about money. You know what it feels like when there is not enough. You know how hard it is to earn. And you know how quickly it can disappear.

This curriculum will not talk down to you. It will meet you exactly where you are and give you practical tools, real knowledge, and clear steps to take control of your financial life.

There are 10 modules. Each one covers a different part of money management. You can read them in order, or jump to any module that feels most urgent for you right now. We recommend starting from the beginning - each module builds on the one before it.

What You Will Learn

By the time you finish this book, you will know how to keep your money safe and in your own name, how to budget and plan your spending, how to negotiate your pay and know your rights, how to grow your money over time, where to save safely, how to protect yourself from scams, how to borrow wisely, how to invest for the first time, how to use digital payments, and how to prepare for emergencies.

This is not a textbook for a classroom. This is a survival guide for real life.

Let us begin.

Module 1 - Your Money, Your Name

If your money is in someone else's account, it's not your money.

Sunita's Story

Sunita worked as a domestic helper for 8 years. Every month, her salary went into her husband's bank account. She trusted him completely. One day, she needed ₹20,000 for her mother's medical emergency. When she asked, he said the money had already been spent. Eight years of her earnings - gone. She had no account, no record, and no way to prove the money was ever hers.

Sunita's story is not rare. Across India, millions of women earn money but never control it. The money goes into a husband's account, a father's account, or a relative's account. And when you need it, it may not be there.

The first rule of financial survival is this: Your money must be in your name.

Why You Need Your Own Bank Account

A bank account in your own name gives you three things: **control** (you decide when and how to spend), **proof** (there is a record of every rupee that comes in and goes out), and **safety** (no one can take your money without your permission).

Opening a bank account is free under the Jan Dhan Yojana. You only need your Aadhaar card. Any nationalised bank branch will help you. If someone tells you that you do not need your own account, ask yourself: why do they want my money in their hands?

The 3 Questions Before Giving Money to Anyone

Before you hand over money to anyone - a relative, a friend, an employer, or anyone else - ask yourself these three questions:

1. **Will I get a receipt or written proof?** If there is no paper trail, there is no proof.
2. **Can I get this money back when I need it?** If the answer is unclear, do not give it.
3. **Why can't this go through a bank?** If someone avoids banks, they may be avoiding accountability.

These questions are not rude. They are responsible. Anyone who is honest will respect you for asking.

What If Someone Pressures You?

Family members, employers, or moneylenders may pressure you to keep money in their control. They may say things like "You don't need a bank account, I'll keep it safe" or "Don't you trust me?" or "A woman doesn't need to handle money."

Recognize these for what they are: attempts to control your earnings. Trust is important, but trust and financial independence are not opposites. You can love someone and still keep your money in your own name.

Key Takeaways

- ✓ Open a bank account in your own name - it is free under Jan Dhan Yojana.
- ✓ Always ask the 3 questions before giving money to anyone.
- ✓ Your money, your name, your control. No exceptions.

Your Action Step This Week

This week, check: Is your salary going into an account in YOUR name? If not, open a Jan Dhan account at your nearest bank. You only need your Aadhaar card. It costs nothing.

Module 2 - Budgeting

A budget is not about having more money. It is about knowing where your money goes.

Meena's Story

Meena earns ₹12,000 per month working in three different houses. By the 20th of every month, she has no money left. She cannot explain where it went. She is not wasteful - she just has no system. When we asked her to track her spending for one month, she discovered that ₹2,400 was going to small daily expenses she never noticed: tea, auto rides, and snacks for her children.

Most people think budgeting is about cutting back. It is not. Budgeting is about making **choices before the money disappears**. When you have a plan for your money, you stop wondering where it went.

The 3 Jar System

This is one of the simplest budgeting methods in the world. It works whether you earn ₹5,000 or ₹50,000. Take your total monthly income and divide it into three parts:

Jar	What It's For
Jar 1 - Needs (50%)	Rent, food, medicines, school fees, transport - the things you must pay for every month.
Jar 2 - Wants (30%)	Clothes, mobile recharges, outings, treats, gifts - things that make life enjoyable but are not urgent.
Jar 3 - Savings (20%)	Money that you do not touch. This is your future. Put it in a bank, RD, or any safe place.

You do not need actual jars. You can use envelopes, separate pockets in your purse, or even draw three columns in a notebook. The method does not matter - the discipline does.

Tracking Your Money

Every evening, take two minutes and write down what you spent that day. Use a notebook, your phone, or ask someone to help you write it. After one month, you will see exactly where your money is going. This is not about guilt. It is about information. You cannot fix what you cannot see.

What If My Income Changes Every Month?

Many women do not have a fixed salary. If your income varies, use your lowest-earning month as your baseline. Budget based on that amount. In months when you earn more, the extra goes straight to Jar 3 (savings). This way, you never overspend, and your savings grow faster in good months.

A Quick Budgeting Example

If You Earn...	Your 3 Jars Look Like This
₹10,000/month	Needs: ₹5,000 Wants: ₹3,000 Savings: ₹2,000
₹15,000/month	Needs: ₹7,500 Wants: ₹4,500 Savings: ₹3,000
₹20,000/month	Needs: ₹10,000 Wants: ₹6,000 Savings: ₹4,000

Even small amounts of savings add up. ₹2,000 per month is ₹24,000 per year. In 5 years, that is ₹1,20,000 - enough for an emergency, a child's admission fee, or a small investment.

Key Takeaways

- ✓ Use the 3 Jar System: 50% Needs, 30% Wants, 20% Savings.
- ✓ Track your spending daily - even 2 minutes in a notebook helps.
- ✓ Budget based on your lowest-earning month to stay safe.
- ✓ Small savings add up to big amounts over time.

Your Action Step This Week

Tonight, write down everything you spent today. Do this every day for one week. At the end of the week, add it up and see where your money is going.

Module 3 - Get Paid What You're Worth

Don't accept any number out of fear. You have the right to be paid fairly.

Priya's Story

Priya worked as a cook in a family's home for 3 years. She was paid ₹4,000 per month. Other cooks in her area earned ₹6,000–7,000 for the same work. Priya knew she was underpaid, but she was afraid to ask for more. She thought: What if they fire me? When she finally gathered the courage to say, "Other cooks earn more for the same work - I would like ₹6,500," the family agreed within a week. She had been underpaid for 3 years because of fear, not because she was not worth more.

Fear is the most expensive thing in a working woman's life. It keeps you silent when you deserve more. This module will teach you how to speak up - calmly, confidently, and with facts.

Know What Others Earn

Before you ask for a raise, find out what others doing similar work earn in your area. Ask friends, neighbours, or other workers. This is not gossip - this is research. When you know the going rate, you can negotiate with facts instead of feelings.

How to Ask for More

You do not need to be aggressive. You need to be clear. Here is a simple script you can adapt:

"I have been working here for [time]. I do [list your tasks]. Other workers doing this work earn [₹amount]. I would like [₹amount]. I respect this family and want to continue working here, and I believe this is a fair request."

Practice saying this in front of a mirror or with a friend. The first time is always the hardest.

Your Legal Rights as a Worker

Whether you work in a home, a shop, a factory, or a field, you have legal rights under Indian law:

- **Minimum Wage:** Every state has a minimum wage. Your employer must pay at least this amount. Check your state's rate at the local labour office.
- **Maternity Benefit:** Under the Maternity Benefit Act, women are entitled to 26 weeks of paid leave for their first two (In companies that fall under this act)
- **Equal Pay:** The Equal Remuneration Act says women must be paid the same as men for the same work.

- **No Harassment:** The Sexual Harassment of Women at Workplace Act protects you from harassment at any workplace - including homes.
- **Domestic Workers' Rights:** While a national law is still pending, several states like Kerala, Tamil Nadu, Karnataka, and Rajasthan have included domestic workers under minimum wage protections.

Knowing your rights does not make you difficult. It makes you informed. If an employer does not respect your rights, there are labour helplines and legal aid organisations that can help.

What If They Say No?

If an employer refuses a fair request, it tells you something important about how they value you. You have three options: accept and stay (but now with full awareness), set a timeline to look for better-paying work elsewhere, or file a complaint at the local labour office if you are being paid below minimum wage.

Never let fear make your financial decisions. You have survived far harder things than a conversation about money.

Key Takeaways

- ✓ Research what others earn for similar work - knowledge is power.
- ✓ Practice your negotiation script until it feels natural.
- ✓ Know your legal rights: minimum wage, maternity leave, equal pay.
- ✓ Fear is expensive. A single conversation can change your income for years.

Your Action Step This Week

This week, ask 2–3 people who do similar work what they earn. Write it down. This is your market research and the foundation for your next conversation about pay.

Module 4 - How Money Grows

Money can work for you, even while you sleep. This is the most powerful idea in finance.

The Rice and Chessboard Story

A woman plants one mango seed. For two years - nothing, just a small tree. In year three, 10 mangoes. She plants those seeds too. A few years later: 40 mangoes from one seed she almost threw away. Her neighbor, who ate every mango, still has zero trees. This is the power of compounding. Small amounts, left to grow, become enormous over time.

This module explains the single most important idea in all of finance: **compound interest**. Understanding this one concept can change your financial future forever.

Simple Interest vs. Compound Interest

Simple interest means you earn interest only on the original amount you deposited. If you put ₹1,000 in a bank at 5% simple interest, you earn ₹50 every year. After 10 years, you have ₹1,500.

Compound interest means you earn interest on your original amount PLUS interest on the interest you already earned. The same ₹1,000 at 5% compound interest grows differently - after 10 years, you have ₹1,629. The difference seems small, but with larger amounts and more time, it becomes massive.

The Magic of Time

The most important ingredient in compound interest is **time**. The earlier you start saving, the more your money grows. Here is why:

If you save ₹1,000/month starting at...	By age 60, you could have...
Age 25 (35 years of saving)	Approximately ₹19-22 lakhs at 7% returns
Age 35 (25 years of saving)	Approximately ₹8-10 lakhs at 7% returns
Age 45 (15 years of saving)	Approximately ₹3-4 lakhs at 7% returns

The person who started at 25 did not save three times more money every month. She simply started earlier and let time do the work. This is why starting NOW - even with small amounts - matters more than starting later with larger amounts.

The Rule of 72

Want to know how long it takes for your money to double? Divide 72 by the interest rate. At 8% interest, your money doubles in about 9 years ($72 \div 8 = 9$). At 6% interest, it takes 12 years. This is a quick way to understand the power of different savings options.

What This Means for You

You do not need to be rich to use compound interest. You need to be consistent. Even ₹500 per month, saved in a recurring deposit at 7%, will grow to more than ₹1 lakh in 10 years. The key is to start, keep going, and never withdraw unless it is a true emergency.

Key Takeaways

- ✓ Compound interest means your money earns interest on its interest.
- ✓ Time is the most powerful tool - start early, even with small amounts.
- ✓ The Rule of 72 tells you how fast your money doubles.
- ✓ Consistency matters more than the amount. ₹500/month can change your life.

Your Action Step This Week

Calculate: If you save just ₹100 per day (₹3,000/month), in one year you will have ₹36,000 plus interest. Write this number down somewhere you can see it. Let it motivate you.

Module 5 - Safe Places for Your Money

Once you start saving, you need to know where to keep your money safely.

Keeping cash at home is risky - it can be stolen, lost, or spent impulsively. India has many safe, government-backed options for saving money that are accessible even if you earn a modest income. Here are the most important ones:

1. Recurring Deposit (RD)

An RD lets you save a fixed amount every month for a set period (usually 6 months to 10 years). The interest rate is around 5–7%. You can open an RD at any bank or post office with as little as ₹100 per month. It is one of the best tools for building a savings habit because the money is automatically deducted from your bank account.

2. Fixed Deposit (FD)

An FD is when you deposit a lump sum and lock it away for a fixed period. The interest rate is typically 5–7.5%, and you earn more if you lock it for longer. FDs are ideal when you receive a bonus, gift money, or any lump sum you do not need immediately.

3. Public Provident Fund (PPF)

PPF is a government savings scheme with an interest rate of around 7–8%. You can invest between ₹500 and ₹1.5 lakh per year. The money is locked for 15 years, but partial withdrawals are allowed after 7 years. The biggest advantage: the interest you earn is completely tax-free. PPF accounts can be opened at any post office or bank.

4. Post Office Savings

Post offices offer some of the safest savings options in India. The Post Office Savings Account gives about 4% interest. The National Savings Certificate (NSC) is a 5-year investment at around 7–7.7%. Sukanya Samriddhi Yojana (for girl children) offers around 8% interest - one of the highest rates available. If you have a daughter, this is one of the best investments you can make for her future.

5. Government Schemes Worth Knowing

Atal Pension Yojana - A pension scheme for workers in the unorganised sector. Contribute as little as ₹42/month and receive a guaranteed pension of ₹1,000–5,000/month after age 60. **PM Jan Dhan Yojana**, Free bank accounts with an accident insurance cover of ₹2 lakh and a life insurance cover of ₹30,000. **PM Jeevan Jyoti Bima Yojana**, Life insurance of ₹2 lakh for just ₹436/year.

Quick Comparison

Option	Best For
RD	Building a monthly savings habit
FD	Lump sum money you don't need right now
PPF	Long-term, tax-free growth
Post Office Savings / NSC	Safe, government-backed returns
Sukanya Samriddhi	Saving for a daughter's future
Atal Pension Yojana	Retirement income for informal workers

Key Takeaways

- ✓ Never keep large amounts of cash at home - use bank or post office savings.
- ✓ RDs are perfect for building a savings habit with small monthly amounts.
- ✓ PPF gives tax-free returns - ideal for long-term savings.
- ✓ Government schemes like Atal Pension and Sukanya Samriddhi are designed for people like you.

Your Action Step This Week

Visit your nearest post office or bank this week and ask about opening a Recurring Deposit. Even ₹500/month is a great start. If you have a daughter, ask about Sukanya Samriddhi Yojana.

Module 6 - Scam Shield

If it sounds too good to be true, it is. Every time.

Lakshmi's Story

Lakshmi saved ₹40,000 over two years. A neighbour told her about a “chit fund” that promised to double her money in 6 months. She gave all ₹40,000. For two months, she received small payments. Then the organiser disappeared. Her entire savings two years of hard work - were gone in an instant.

Scammers specifically target people who work hard and save carefully. They know you want your money to grow. They use that desire against you. This module will teach you to recognise and avoid the most common scams.

Scam #1: Chit Fund Traps

Unregistered chit funds promise high returns and operate like informal savings circles. Early members get paid using money from new members. When new members stop joining, the scheme collapses and the organisers vanish. **Red flag:** Anyone who is not a registered financial institution promising guaranteed high returns.

How to protect yourself: Only join chit funds registered with the state government. Ask to see the registration certificate. If they cannot show one, walk away immediately.

Scam #2: OTP Fraud

You receive a call: "We are from your bank. There is a problem with your account. Please share your OTP to verify." This is a scam. Banks never ask for your OTP over the phone. The moment you share your OTP, the scammer can access your bank account and transfer your money out.

The rule is absolute: Never share your OTP, PIN, or password with anyone. Not a bank caller, not a government official, not a family member. If someone calls claiming to be from your bank, hang up and call the bank's official number directly.

Scam #3: "Double Your Money" Schemes

An “advisor” or neighbour tells you about an investment that will double your money in 3–6 months. They may show you fake certificates, apps, or WhatsApp screenshots of “profits.” These are Ponzi schemes. Your money is given to earlier investors, not actually invested. The scheme always collapses.

Reality check: No legitimate investment doubles your money in months. The best legal investments in India grow your money by 7–15% per year. Anyone promising more is lying.

Scam #4: Fake Government Scheme Messages

You receive an SMS or WhatsApp message saying you have won a government grant or subsidy. You just need to click a link and enter your bank details. This is phishing. The government never sends money through random links. If you receive such a message, delete it immediately.

The Golden Rules of Scam Protection

- If it promises guaranteed high returns, it is a scam.
- If they ask for your OTP, PIN, or password, it is a scam.
- If they pressure you to decide immediately, it is a scam.
- If you cannot find official registration or documentation, it is a scam.
- If a stranger contacts you about money, it is a scam.

Key Takeaways

- ✓ Never share your OTP, PIN, or password with anyone - not even someone claiming to be from your bank.
- ✓ If someone promises to double your money, they are lying.
- ✓ Only use registered financial institutions for saving and investing.
- ✓ When in doubt, talk to your bank directly using the number on your card or passbook.

Your Action Step This Week

Save your bank's official customer care number in your phone right now. If you ever receive a suspicious call, hang up and call this number directly.

Module 7 - Debt

Not all debt is bad. But all debt without understanding is dangerous.

Kavita's Story

Kavita borrowed ₹10,000 from a local moneylender for her son's school admission. The moneylender said the interest was "only 5%." She assumed this was per year, like a bank. It was actually 5% per month. After one year, she owed ₹16,000 in interest alone - more than half the original loan. She paid ₹26,000 to borrow ₹10,000.

Debt is a tool. Like any tool, it can build your life or destroy it. The difference is understanding the terms before you borrow.

Monthly vs. Annual Interest: The Trick That Traps People

This is the single most important thing to understand about borrowing. **Always ask: Is this interest rate monthly or annual?**

What they say	What it actually means per year
"2% per month"	24% per year ($2\% \times 12$ months)
"3% per month"	36% per year
"5% per month"	60% per year (!) - your debt grows faster than you can ever pay it
"10% per year" (bank rate)	Less than 1% per month

Moneylenders almost always quote monthly rates to make them sound small. Banks quote annual rates. Compare them on the same basis before borrowing.

Where to Borrow Safely

Banks and microfinance institutions - They charge annual interest rates of 10–24%, which is far less than most moneylenders. They are regulated and must follow rules. **Self-Help Groups (SHGs)** - Many women's SHGs offer small loans at reasonable rates. This is often the best option for small emergency needs. **Government schemes** - Mudra Loans under PMMY offer loans up to ₹10 lakh for small businesses at low interest rates.

Before You Borrow: A Checklist

- What is the total amount I will repay? (Not just the loan, but loan + all interest)
- Is the interest rate monthly or annual?
- What happens if I miss a payment? Are there penalty charges?

- Is there a written agreement? (Never borrow without one)
- Can I realistically afford the monthly repayment from my budget?

Getting Out of Debt

If you are already in debt, do not panic. Here is a simple approach: First, list all your debts with their interest rates. Second, pay the minimum on all debts but put extra money toward the one with the highest interest rate. Third, once that one is paid off, move to the next highest. Fourth, stop taking new debt while paying off old debt. This is called the "avalanche method" and it saves you the most money over time.

Key Takeaways

- ✓ Always ask: Is the interest monthly or annual? This one question can save you lakhs.
- ✓ Borrow from banks, SHGs, or government schemes - never from unregulated moneylenders.
- ✓ Never borrow without a written agreement that states the total repayment amount.
- ✓ If you are in debt, pay off the highest-interest debt first.

Your Action Step This Week

If you have any existing debts, write them down today: who you owe, how much, and the interest rate (monthly or annual). This is step one of taking control.

Module 8 - Your First Real Investment

From gold bangles to mutual fund SIPs - it is time to make your money work harder.

Anjali's Story

Anjali's mother-in-law gave her gold bangles worth ₹1.5 lakh when she got married. Smart — gold is real, it's trusted, and it grew to about ₹3.5 lakh in 15 years. But imagine if Anjali had split that ₹1.5 lakh: kept ₹50,000 in gold, put ₹50,000 in a mutual fund SIP, and ₹50,000 in PPF. Now instead of one asset that depends on gold prices alone, she has three working for her — if gold has a bad year, her SIP covers it; if markets crash, her PPF and gold hold steady. Diversification doesn't mean gold is wrong. It means no single thing should carry your whole family's future.

In India, women have traditionally invested in gold. It is safe, it is physical, and it carries cultural significance. There is nothing wrong with owning gold. But if your goal is growing wealth, there are better options.

Why Gold Alone Is Not Enough

Gold is a strong asset — it grows at about 8–10% per year, it's trusted, and in a crisis it protects you. But on its own, it has limits: making charges (10–25%), storage risk, and no regular income while it sits in a locker. That's not a reason to avoid gold — it's a reason to not rely on gold alone. Pair it with a SIP that grows your money and can pay dividends back to you, a PPF that gives steady tax-free interest, and over time, assets like bonds or land. Gold protects, but a full portfolio provides. Furthermore, if you were to invest in gold, it is better as a bar than jewelry as in jewelry gold is lost in the production process, gold bars are also more liquid.

What Is a Mutual Fund SIP?

A SIP (Systematic Investment Plan) lets you invest a fixed amount every month into a mutual fund. A mutual fund is a pool of money collected from many investors and invested by professionals into stocks, bonds, or both. You do not need to understand the stock market. The fund manager does the work. You just contribute regularly.

Key facts about SIPs: You can start with as little as ₹500 per month. Your money is managed by professional fund managers. Historically, good mutual funds have returned 10–15% per year over long periods. You can withdraw your money any time (for most funds). It is regulated by SEBI, the government's financial regulator.

MUTUAL FUNDS ARE SUBJECT TO MARKET RISK

How to Start a SIP

Starting is simpler than you might think. You need a PAN card (if you do not have one, you can apply online or at a NSDL centre), a bank account, and KYC completion (your bank or any mutual fund office can help with this). Once KYC is done, you can start a SIP through your bank, a mutual fund office, or apps like Groww, Zerodha, or Paytm Money.

A Smart Mix: Gold + SIP + Savings

The best strategy is not choosing one option - it is combining them. The power of diversification. Keep some gold for cultural value, emergencies, and as a genuine investment. Put a fixed amount in an RD or FD for safety. Start a small SIP for long-term growth. This mix gives you security, liquidity, and growth.

Key Takeaways

- ✓ Gold is good for safety but diversification is important.
- ✓ A mutual fund SIP lets you invest small amounts monthly with professional management.
- ✓ You can start a SIP with just ₹500/month.
- ✓ The best strategy combines gold, safe savings (RD/FD), and a SIP.

Your Action Step This Week

Ask at your bank about their simplest mutual fund SIP option. You do not need to invest today - just learn what is available.

Module 9 - Digital Money

Digital payments are the future - and the future is already here.

More and more payments in India are going digital. Your employers may pay you through UPI. Shops accept QR code payments. Government benefits come directly to your bank account. Understanding digital money is no longer optional - it is essential.

UPI (Unified Payments Interface)

UPI is India's digital payment system. It connects your bank account to a mobile app so you can send and receive money instantly. Popular UPI apps include Google Pay, PhonePe, Paytm, and BHIM. To set it up, you need a smartphone, a bank account, and the mobile number linked to your bank account.

How UPI works: You create a UPI ID (like yourname@bank). To send money, you enter the receiver's UPI ID, phone number, or scan their QR code. The money goes directly from your bank to theirs. There is no charge for most transactions.

UPI Safety Rules

UPI is safe if you follow these rules:

- You NEVER need to enter your PIN to RECEIVE money. If someone asks you to enter your PIN to receive payment, it is a scam.
- Never share your UPI PIN with anyone. Not friends, not family, not anyone calling from "the bank."
- Always double-check the name and amount before confirming a payment.
- Set a daily transaction limit on your UPI app to limit damage if your phone is stolen.
- If your phone is lost, call your bank immediately to block UPI access.

Mobile Wallets

Apps like Paytm Wallet, Amazon Pay, and others let you store money digitally and use it for payments. They are convenient for small transactions but remember: money in a wallet is not in your bank account. Keep only small amounts in wallets. For larger savings, always use your bank.

Online Fraud Protection

The digital world has its own scams. Remember these absolute rules: No legitimate service will ever ask you to share your OTP. If you receive money "by mistake" and someone asks you to return it via a specific link, do not click - contact your bank instead. Never click links in SMS or WhatsApp messages that claim you have won money or need to verify your

account. If an app asks for permissions it should not need (like access to your contacts or messages), do not install it.

Keep Records

Every digital transaction creates a record. This is one of the biggest advantages of digital payments - you have proof of every payment. Take screenshots of important transactions. Check your bank statement regularly through your banking app or at the bank branch.

Key Takeaways

- ✓ UPI is safe, free, and convenient - learn to use it.
- ✓ You NEVER need to enter your PIN to receive money. This is always a scam.
- ✓ Never share your UPI PIN or OTP with anyone.
- ✓ Keep only small amounts in mobile wallets - large savings belong in the bank.

Your Action Step This Week

If you do not have a UPI app yet, ask a trusted friend or family member to help you set up Google Pay or PhonePe this week. Make one small test transaction to get comfortable.

Module 10 - Emergency Plan

It is not about if an emergency happens. It is about when. Be ready.

Geeta's Story

When Geeta's husband was hospitalised after an accident, she needed ₹50,000 within days. She had no emergency fund. She borrowed from a moneylender at 5% monthly interest. By the time she finished repaying, she had paid ₹82,000 for that ₹50,000 loan. If she had kept even ₹30,000 in an emergency fund, the damage would have been far less.

Emergencies do not send invitations. A medical crisis, a job loss, an accident, a natural disaster - they come without warning. The only defence is preparation. This module will help you build your emergency plan.

How Much Do You Need?

The ideal emergency fund is **3 months of your total expenses**. If your family spends ₹15,000 per month on rent, food, transport, and essentials, your goal is ₹45,000. This may seem like a lot. Start small. Even ₹5,000 is better than nothing. Even ₹1,000 is better than zero. The point is to start.

Where to Keep Your Emergency Fund

Your emergency fund must be **safe** and **accessible**. This means: a savings account at a bank (you can withdraw anytime), a short-term RD (3–6 months, earns some interest), or a separate savings account specifically for emergencies. Do not invest your emergency fund in FDs with long lock-in periods, mutual funds (which can lose value in the short term), or gold (which is hard to sell quickly at full value).

How to Build It

Use Jar 3 from Module 2. Set aside 20% of your income every month. Some of this goes to long-term savings. Some goes to your emergency fund. Keep building until you reach your 3-month target. After that, your savings can shift more toward growth investments like SIPs.

What to Do When an Emergency Hits

When a financial emergency happens, follow this order:

1. Use your emergency fund first. This is exactly what it is for.
2. If your emergency fund is not enough, borrow from a bank or SHG at fair interest rates.
3. Ask your employer for an advance on your salary.

4. As a last resort, ask family or trusted friends for a short-term loan with clear repayment terms.
5. Avoid moneylenders. Their high interest rates will turn one emergency into two.

After the Emergency

Once the crisis is over, do not relax. Rebuild your emergency fund as quickly as possible. If you borrowed money, make a clear repayment plan and stick to it. Review what happened and ask: could I have been better prepared? Use the experience to strengthen your plan for next time.

Documents to Keep Safe

In an emergency, you need access to important documents quickly. Keep copies of these in a safe, waterproof place (a plastic folder or bag): Aadhaar card, bank passbook and account numbers, insurance policies, medical records, birth certificates, PAN card, and phone numbers of your bank, employer, and emergency contacts.

Also save digital copies on your phone or email. If physical copies are lost, you will still have access.

Key Takeaways

- ✓ Build an emergency fund equal to 3 months of expenses - start with whatever you can.
- ✓ Keep emergency money in a savings account or short-term RD - safe and accessible.
- ✓ In an emergency, use your fund first, then banks/SHGs, then family. Avoid moneylenders.
- ✓ Keep important documents in a safe, accessible place.

Your Action Step This Week

Today, calculate your total monthly expenses. Multiply by 3. Write that number down - this is your emergency fund goal. Then open a separate savings account or start a small RD specifically for emergencies.

A Final Word

You have now read through all 10 modules of this curriculum. You know how to protect your money, budget wisely, demand fair pay, grow your savings, avoid scams, borrow safely, invest for the first time, use digital tools, and prepare for emergencies.

But knowledge alone does not change your life. **Action does.**

Pick one module - the one that felt most urgent to you - and do the action step this week. Just one. Then move to the next. Step by step, your financial life will change.

You are not starting from zero. You have been managing money your entire life. Now you have the tools to manage it better.

This book was written with deep respect for the work you do, the challenges you face, and the strength you carry every day. You deserve financial security. You deserve financial dignity. And now, you have the knowledge to build it.

First Step to Financial Freedom

Written by Rehaan Chowdhary

For the women who build the world.